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Fuyao Glass Industry Group | Asia Pacific

3Q26 Earnings Call Takeaways

MORGAN STANLEY ASIA LIMITED+

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Key Takeaways

- Fuyao's share price is -8% intra-day (vs. -0.4% for HSI) reflecting market concerns on earnings pressure amid weak auto volume, rather than 3Q26 results.
- Management is positive on overseas market share gains, yet SAM loss lingers.

6-7% ASP CAGR guidance maintained: Management guided that ASP grew 6.4% YoY, or adjusted ASP (ex Rmb appreciation and tariff recovery) grew 8.1% YoY in 9M26, and slower ASP growth in 3Q26 was due to a higher base, as dimmable glass started shipment from 3Q25. Management retained its 6-7% ASP CAGR target over the next decade on mix improvement. In 9M26, high-value-added products accounted for 59.95% of revenue (+7ppt YoY), driven by dimmable glass (+3.7ppt YoY), soundproof glass (+1.9ppt YoY) and HUD glass (+1.2ppt YoY).

Auto glass gaining share in Europe, SAM remains loss-making: Management expects faster market share gains in Europe as competitors continue to rationalize capacity, allowing Fuyao to become a primary supplier for some OEMs. But, the European aluminum trim subsidiary SAM remained loss-making, with a €6.23mn loss in 9M26, implying 3Q26 loss widened to €4.06mn amid order volatility.

US profitability outlook intact: The US plant delivered a 17.36% operating margin in 9M26, implying 15% for 3Q26. Fire-damaged production lines have been repaired and returning to production, but there could be some margin volatility in 4Q. Management targets US plant's operating margin to improve 1ppt for full-year 2026 from 13.3% in 2025, and another +1ppt in 2027.

Fuyao Glass Industry Group (3606.HK, 3606 HK)

China Autos & Shared Mobility | China

Stock Rating	**Equal-weight**
Industry View	**In-Line**
Price target	HK$53.50
Up/downside to price target (%)	(3)
Shr price, close (Oct 20, 2026)	HK$55.35
52-Week Range	HK$72.50-47.70
Sh out, dil, curr (mn)	607
Mkt cap, curr (mn)	Rmb139,243.2
EV, curr (mn)	Rmb132,964.5
Avg daily trading value (mn)	HK$154

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	3.57	3.51	4.43	5.17
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	3.66	3.71	4.43	5.09
Revenue, net (Rmb mn)	45,787	47,896	55,256	63,153
EBITDA (Rmb mn)	13,164	14,192	16,805	19,186
ModelWare net inc (Rmb mn)	9,312	9,158	11,559	13,492
P/E	16.9	13.4	10.6	9.1
P/BV	4.2	3.0	2.7	2.4
RNOA (%)	25.3	26.1	29.2	31.6
ROE (%)	26.1	24.4	28.0	29.3
EV/EBITDA	12.2	9.3	7.7	6.6
Div yld (%)	3.5	4.4	5.5	6.5
FCF yld ratio (%)**	5.1	5.4	7.2	8.8
Leverage (EOP) (%)	(21.2)	(22.2)	(24.2)	(27.2)

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

Fuyao Glass Industry Group (3606.HK)

Base case, with HK$1.12/RMB FX rate assumed for A-share base case price target plus five-year average valuation discount of 15% given different investor profiles. Our A-share PT is derived from DCF valuation; key assumptions include a 13% WACC (15.3% cost of equity and 6.3% cost of debt), an 8% medium-term growth rate, and a 3% terminal growth rate.

Risks to Upside

- Higher-than-expected China auto sales growth
- Acceleration in US/EU market share gains
- End to geopolitical tensions

Risks to Downside

- Larger-than-expected slowdown in China auto sales
- Delay in its US plant ramp-up
- Increase in energy/materials costs

Fuyao Glass Industry Group (600660.SS)

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(as of September 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1599	43%	455	48%	28%	783	44%
Equal-weight/Hold	1563	42%	394	42%	25%	763	43%
Not-Rated/Hold	2	0%	1	0%	50%	1	0%
Underweight/Sell	570	15%	96	10%	17%	227	13%
Total	3,734		946			1774	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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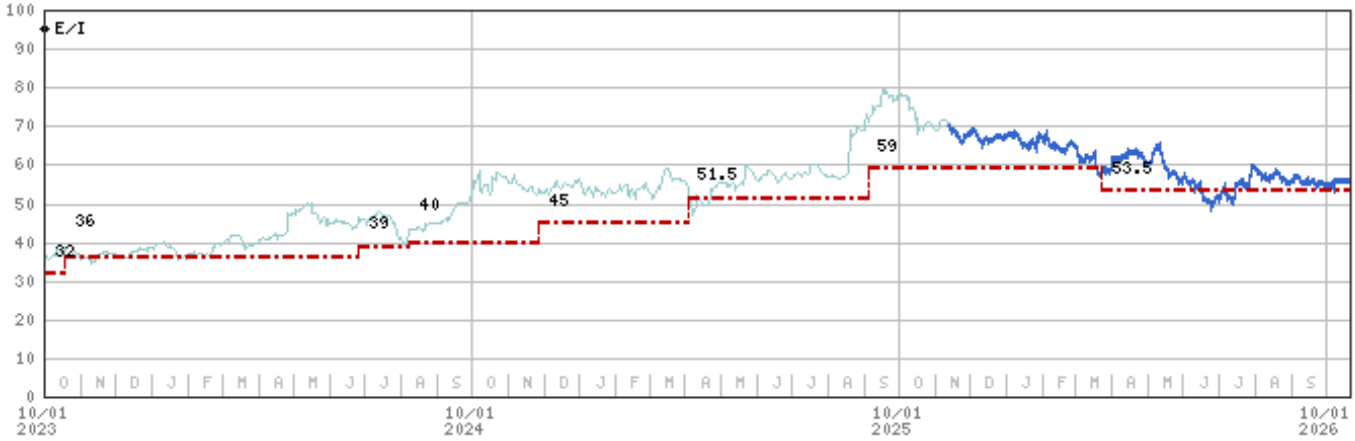
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Stock Price, Price Target and Rating History (See Rating Definitions)

Fuyao Glass Industry Group (3606.HK) - As of 10/21/26 GMT in HKD
Industry : China Autos & Shared Mobility



Stock Rating History: 10/1/21 : E/A; 8/25/22 : E/I

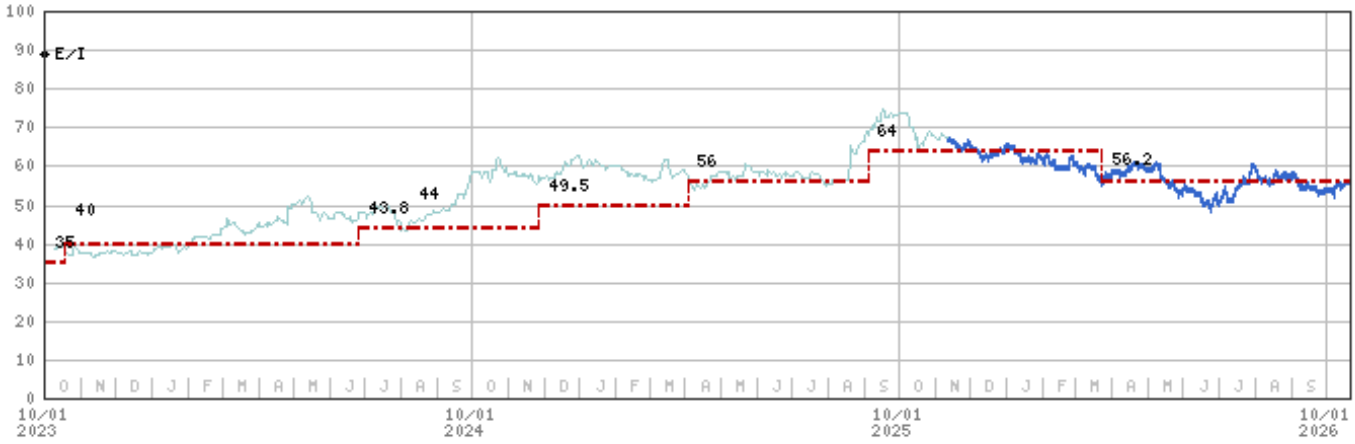
Price Target History: 1/15/21 : 46; 3/21/22 : 31; 8/25/22 : 32; 10/18/23 : 36; 6/25/24 : 39; 8/8/24 : 40; 11/27/24 : 45; 4/3/25 : 51.5; 9/4/25 : 59; 3/23/26 : 53.5

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

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Fuyao Glass Industry Group (600660.SS) - As of 10/21/26 GMT in CNY
Industry : China Autos & Shared Mobility



Stock Rating History: 10/1/21 : E/A; 8/25/22 : E/I

Price Target History: 1/15/21 : 52; 3/21/22 : 34; 8/25/22 : 35; 10/18/23 : 40; 6/25/24 : 43.8; 8/8/24 : 44; 11/27/24 : 49.5; 4/3/25 : 56; 9/4/25 : 64; 3/23/26 : 56.2

Source: Morgan Stanley Research Date Format : MM/DD/YY Price Target -·- No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst) — Stock Price (Covered by Current Analyst) ▬
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INDUSTRY COVERAGE: China Autos & Shared Mobility

COMPANY (TICKER)	RATING (AS OF)	PRICE* (10/20/2026)
Joey Xu, CFA		
Anhui Jianghuai Automobile (600418.SS)	E (08/19/2023)	Rmb21.53
BAIC Motor (1958.HK)	E (10/02/2025)	HK$0.72
Brilliance China Automotive (1114.HK)	E (03/31/2025)	HK$1.83
Chongqing Changan Automobile (000625.SZ)	E (03/03/2026)	Rmb7.07
Guangzhou Automobile Group (601238.SS)	U (10/23/2019)	Rmb4.95
Guangzhou Automobile Group (2238.HK)	O (05/05/2020)	HK$2.09
Huayu Automotive (600741.SS)	O (09/08/2020)	Rmb15.43
Jiangsu Changshu Automotive Trim Group (603035.SS)	U (09/01/2026)	Rmb10.14
Ningbo Huaxiang Electronic Co., Ltd. (002048.SZ)	E (05/05/2026)	Rmb18.00
SAIC Motor Corp. Ltd. (600104.SS)	O (11/25/2021)	Rmb10.73
Voyah Automotive Technology Co. Ltd, (7489.HK)	O (03/31/2026)	HK$1.63
Zhengzhou Yutong Bus Co (600066.SS)	E (09/22/2023)	Rmb28.68
Shelley Wang, CFA		
Beijing Jingwei Hirain Technologies (688326.SS)	U (09/27/2024)	Rmb53.76
Bethel Automotive Safety Systems Co Ltd (603596.SS)	O (12/11/2023)	Rmb26.46
Changzhou Xingyu Automotive Lighting Sys (601799.SS)	O (09/27/2024)	Rmb69.26
China MeiDong Auto Holdings Ltd (1268.HK)	U (07/10/2026)	HK$0.34
China Yongda Automobiles Services (3669.HK)	U (07/10/2026)	HK$0.73
Foryou Corporation (002906.SZ)	O (03/06/2024)	Rmb24.86
Fuyao Glass Industry Group (600660.SS)	E (12/01/2016)	Rmb55.25
Fuyao Glass Industry Group (3606.HK)	E (12/01/2016)	HK$55.35
Hesai Group (HSAI.O)	O (07/28/2025)	US$13.99
Huizhou Desay SV Automotive Co Ltd (002920.SZ)	O (02/28/2025)	Rmb76.62
Keboda (603786.SS)	O (01/17/2024)	Rmb37.25
Minth Group Limited (0425.HK)	O (08/24/2015)	HK$23.14
NavInfo Co Ltd (002405.SZ)	U (03/06/2024)	Rmb6.12
Nexteer Automotive Group (1316.HK)	E (02/28/2025)	HK$4.41
Ningbo Joyson Electronic Corp (600699.SS)	E (03/11/2026)	Rmb21.24
Ningbo Tuopu Group Co Ltd (601689.SS)	E (11/12/2025)	Rmb42.16
Ningbo Xusheng Group Co Ltd (603305.SS)	E (06/18/2025)	Rmb10.90
RoboSense Technology Co Ltd (2498.HK)	O (10/12/2026)	HK$15.36
Suzhou Recodeal Interconnect System (688800.SS)	O (07/02/2026)	Rmb45.42
TUHU Car Inc (9690.HK)	O (07/29/2024)	HK$11.47
Zhejiang Sanhua Intelligent Controls (002050.SZ)	E (11/12/2025)	Rmb33.03
Zhongsheng Group Holdings (0881.HK)	E (07/10/2026)	HK$2.40
Tim Hsiao		
BAIC BluePark New Energy (600733.SS)	U (08/07/2024)	Rmb4.35
BYD Company Limited (002594.SZ)	O (04/14/2025)	Rmb82.60
BYD Company Limited (1211.HK)	O (04/14/2025)	HK$73.65
EHang Holdings Ltd (EH.O)	E (09/15/2026)	US$3.56
Geely Automobile Holdings (0175.HK)	O (06/26/2024)	HK$14.94
Great Wall Motor Company Limited (601633.SS)	U (03/16/2022)	Rmb14.22
Great Wall Motor Company Limited (2333.HK)	E (01/08/2024)	HK$7.09
Horizon Robotics (9660.HK)	O (12/02/2024)	HK$3.77
Li Auto Inc. (LI.O)	O (08/24/2020)	US$11.93
Li Auto Inc. (2015.HK)	O (11/16/2021)	HK$45.64
NIO Inc. (9866.HK)	O (10/03/2022)	HK$26.44
NIO Inc. (NIO.N)	O (08/26/2020)	US$3.43
WeRide Inc (WRD.O)	O (11/19/2024)	US$4.34
XPeng Inc. (9868.HK)	O (11/16/2021)	HK$37.60
XPeng Inc. (XPEV.N)	O (01/29/2021)	US$9.91

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* Historical prices are not split adjusted.

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